

THE SIDEWALK'S GRAVITATIONAL PULL: POORNESS

A recession is a bump in the road. How many people have lost their homes due to the current economic crisis? Their savings, their jobs, or their 401Ks? The Sidewalk offers no protection, because you're naked and you can't absorb the hits. If you're hit by traffic, you're roadkill. If you want to be unshakable on your financial road trip, you have to get tough and strap on a bulletproof vest and have a plan that transcends years, not days.

A life on the Sidewalk naturally pulls you to poorness. Because the Sidewalk is about the short term, it never works for the long term. Your future becomes a mortgage for a pleasant present. Unfortunately, any bump in the road causes the loans of the Sidewalk to be called in: a recession, a job loss, an interest rate hike, a mortgage reset. Living on the Sidewalk can literally end in living on the sidewalk.

If you ask any derailed Sidewalker what spun his financial life out of control, he will quickly blame some external factor: I was laid off! My car broke down! I had no health insurance when I broke my foot! The judge ordered a 20% increase in alimony! When you rev your financial engine at the redline you're guaranteed to burnout. And then, ironically, your pleasant today's turn into horrible tomorrows: more work, more debt, and more stress.

I don't know your age, but let's be honest and ask the uncomfortable question: Can you seriously expect to retire on \$13,000 in net worth? Or \$113,000? Is it rational to think you can live off your home equity refinance? Have you thought beyond next week's paycheck? At what threshold do you realize that it's time to shift gears and reevaluate? Is there a threshold? Why would something that you've been doing for 5, 10, 20 years suddenly start working? Yes, insanity is doing the same things repeatedly and expecting different results.

The Sidewalk is not a road to wealth unless your strategy is casinos, lottery tickets, or some poison-your-spouse insurance scheme. Government aid, social security, charity, and "my parents will soon die and leave me a fortune" inheritance is not a financial plan! If you don't want to work at Kmart until you're 75 years old or you don't want to retire under a bridge in a cardboard box, you have to have a plan. Should life grant you another 50 years, what the heck is your plan?!

The first step to escape the Sidewalk is recognizing that you might be on it . . . then replace it with something that works!

MONEY DOESN'T SOLVE MONEY PROBLEMS

Newsflash: The Sidewalk is money blind. It doesn't care about how much money you make. You can't medicate poor money management with more money. Yes, you can look filthy rich and still be riding the Sidewalk dirty.

Sidewalkers come from all walks of life, even those with the visual embodiments of wealth. They own businesses, they work high-paying careers like medicine or law, or they live as successful actors or musicians and earn big incomes. The common